

1.2 Spotting a business opportunity

Paper 1 / Theme 1 · Edexcel GCSE Business 1BS0

Past-paper question bank for this topic

- **Total questions:** 38
- **Total marks:** 109
- **Sub-topics covered:** 4

By series:

- **Specimen SAMs:** 6 questions
- **June 2019:** 6 questions
- **Nov 2020:** 7 questions
- **Nov 2021:** 5 questions
- **June 2022:** 3 questions
- **June 2023:** 7 questions
- **June 2024:** 4 questions

1.2.1 Customer needs (7 questions)

Specimen SAMs · Paper 1 · Q2(b) · §A

MCQ

2 marks

Which two of the following are examples of services?

- A. Train journey
- B. Magazine
- C. Headphones
- D. Haircut
- E. Mobile phone

▼ Mark scheme

A, D

Explain one benefit to a small business of understanding customer needs.

▼ Mark scheme

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. One benefit to a small business of understanding customer needs is that it can set a suitable price (1). This means customers are more likely to buy the product (1). This will generate more revenue for the business (1). The small business can develop the quality of the product to meet customer needs (1). This means the business can gain a competitive advantage (1), which allows the business to gain a larger market share (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Sports Tours Ltd was established in 1989 and is one of the leading online specialist sports tour operators in the United Kingdom. It arranges tours for teams to destinations in the United Kingdom and Europe in sports such as football, rugby, hockey and netball. The business not only organises travel, accommodation and meals, but it also arranges games and entry to tournaments for the sports team whilst on tour. Sports Tours Ltd has very high standards. It carries out full risk assessments for all tours including possible pre-tour inspection visits. Tours are licensed and authorised through official agencies. All tours have regular contact with a member of staff from Sports Tours Ltd. In recent years the business has faced increasing competition. This is not only from other sports tour operators but also from teams organising their own tours. Changing levels of consumer income and exchange rates have also had an impact on demand for tours by sports teams. Sports Tours Ltd are confident that the high level of service they offer will help them to remain competitive. However, it is always looking for more ways to add value to its business activities. (Source: adapted from <https://www.sports-tours.co.uk/about>)

Outline one way that Sports Tours Ltd meets customer needs.

▼ Mark scheme

Award up to 2 marks for linked points outlining a suitable way for Sports Tours Ltd to meet customer needs. Award a maximum of 1 mark if points are not linked.

Sports Tours Ltd offer its customers a choice of products (1). This includes tours in sports such as football, rugby, hockey and netball (1).

Sports Tours Ltd ensure the tours are high quality (1). It carries out full risk assessments for all tours. (1).

Do not accept a way that would not be appropriate for Sports Tours Ltd.

Which two of the following are examples of a service?

- A. Birthday cake
- B. Fitness class
- C. Mobile phone
- D. Newspaper
- E. Train journey

▼ Mark scheme

The only correct answers are B – Fitness Class and E – Train journey. A is not correct because it is an example of a product. C is not correct because it is an example of a product. D is not correct because it is an example of a product.

Which two of the following are examples of customer needs? Select two answers.

- A. Choice
- B. Profit
- C. Quality
- D. Risk
- E. Taxation

▼ Mark scheme

The only correct answers are A – Choice and C – Quality. B is not correct because it is not a customer need. D is not correct because it is not a customer need. E is not correct because it is not a customer need.

Outline one benefit to customers from Ripple asking questions to identify its customer needs.

▼ Mark scheme

Award up to 2 marks for linked points outlining a benefit to customers of Ripple. Award a maximum of 1 mark if points are not linked. Customers will receive the correct green energy plan (1). This will make sure they receive the correct amount of energy for their needs (1). Customers will invest the correct amount of money into the wind farm (1). This will lead them to get the best return on their money (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

Analyse the importance to Adikoggz of identifying customer needs.

▼ **Mark scheme**

Indicative content: It is important to identify what price customers are willing to pay for trainers to be cleaned or customised (AO2). Keilan has to select popular football teams and music bands to base his customisations on (AO2). Customers may not be willing to pay £20 to get their trainers cleaned and it may not be profitable for Keilan to charge any less than this. To be successful he needs to find a price that customers feel offers value for money but also allows him to make a profit (AO3a). This will offer more choice to customers. If he selects football teams and music bands that have a lot of fans, then Adikoggz stands a better chance of attracting customers and meeting their needs (AO3a). Level 1 (1-2): Limited application. Level 2 (3-4): Sound application with some inconsistencies. Level 3 (5-6): Detailed application throughout with detailed interconnected points and logical chains of reasoning.

1.2.2 Market research (10 questions)

Which two of the following are examples of primary market research?

- A. Internet research
- B. Market reports
- C. Customer survey
- D. Government statistics
- E. Focus group

▼ **Mark scheme**

C, E

Explain one disadvantage to a small business of using qualitative data for market research.

▼ **Mark scheme**

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Responses are based on a person's opinions (1). This means they can be very varied (1) therefore making it difficult to make a judgement on customer preferences (1). Qualitative data is mostly non-numeric (1). This makes it difficult to analyse the data (1). This can mean it is difficult to make decisions based on this data (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Last Course Patisserie case study. The new head chef carried out secondary market research to identify information about the food market.

State one benefit to Last Course Patisserie of conducting secondary market research.

▼ Mark scheme

Award 1 mark for stating one benefit to Last Course Patisserie of conducting secondary market research. Research into food purchases has already been carried out thus saving time (1). It is more convenient as it can be difficult finding customers with in rural areas such as Devon (1). Sources such as the government provide validated information on amount of money households spend on food (1). Accept any other appropriate response. Do not accept benefits that would not be appropriate for Last Course Patisserie. For example, Last Course Patisserie could use secondary research to fully understand customer needs.

Which two of the following are examples of secondary market research?

- A. Focus group
- B. Internet
- C. Market report
- D. Observation
- E. Survey

▼ Mark scheme

The only correct answers are B - Internet and C - Market report. A is not correct because it is a method of primary market research. D is not correct because it is a method of primary market research. E is not correct because it is a method of primary market research.

Which one of the following could be used to identify customer needs?

- A. Business idea
- B. Business objectives
- C. Market research
- D. Marketing mix

▼ Mark scheme

C - Market research

Explain one disadvantage to a small business of using a focus group to collect market research data.

▼ **Mark scheme**

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks.

Focus groups can be expensive to arrange (1). A business may have to pay people to participate in the focus group (1). This will lead to an increase of market research costs for a small business (1).

The moderator can influence the responses of the participants (1). This is because they may have pre-conceived ideas of what they want outcomes to be (1). This can therefore lead to bias in the outcomes of the focus group (1).

Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Little Movers is considering two options to carry out market research for possible new franchises in Poland: Option 1: internet research to identify competitors in Poland; Option 2: conducting focus groups with parents living in Poland.

Justify which one of these two options Little Movers should choose.

▼ Mark scheme

Indicative content: Internet research to find out about dance schools is cheap and convenient to carry out (AO2). Focus groups could be used to ask specific questions to parents on the types of services they want for their children (AO2). There will be a wide number of websites that can be used to check if there are similar business that offer pre-school classes in Poland. This can be used to see if there is a lot of competition in the market or if a gap in the market exists (AO3a). This will allow Melanie to see if her existing franchise model would work in Poland, or if it will need to adapt to suit the new market. Pre-school age groups may be different in other countries (AO3a). However, the reliability and language barriers of internet research can be an issue. The websites of the dance schools may be out of date and do not give any indication whether the business is successful or not (AO3b). However, this would be more expensive than secondary research as she will have to take more time to conduct the research. She will also have to travel to Poland. This leaves less time to prepare new lesson plans for the franchises in the UK (AO3b). Levels: Level 0 No rewardable material. Level 1 (1–3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4–6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7–9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Which one of the following could market mapping be used for? Select one answer.

- A. Identifying how many customers there are in a market
- B. Identifying how many employees work in a business
- C. Spotting where there is a gap in the market
- D. To identify the location of a business

▼ Mark scheme

The only correct answer is C – Spotting where there is a gap in the market. A is not correct because it is not identified using a market map. B is not correct because it is not identified using a market map. D is not correct because it is not identified using a market map.

Analyse the impact on Lili Heating Ltd of using the internet to collect secondary market research.

▼ Mark scheme

Indicative content: Using the internet as a source of secondary market research is a fast and convenient way to discover how many females live in Birmingham (AO2). The internet will not provide focused information to let Amelia know if there will be enough demand for her plumbing and building services (AO2). Although she knows how many females live in Birmingham, it would be difficult to find out how many of them own a property or would want a female plumber to work in their homes (AO3a). Lili Heating Ltd will be in competition against other established plumbers. Amelia will need to spend more time developing her target market to make sure there are enough potential customers (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Which two of the following could be used to collect secondary market research?

- A. Focus group
- B. Internet
- C. Market reports
- D. Observation
- E. Survey

▼ Mark scheme

The only correct answers are B - Internet and C - Market reports. A is not correct because it is a primary research method. D is not correct because it is a primary research method. E is not correct because it is a primary research method.

1.2.3 Market segmentation (6 questions)

Explain one way a small business could use market segmentation to target customers.

▼ Mark scheme

Award 1 mark for identification of one way, plus 2 further marks for explaining this way up to a total of 3 marks. A small business could use market segmentation by using gender (1). Different products can be targeted to customers depending on if they are male or female (1). This will lead to a business being able to meet the needs of those particular customers (1). A small business could segment a market using income (1). People with a higher level of income are more likely to buy luxury goods (1). This means a business could develop a higher quality product to target these customers (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

State one market segment that On Your Bike has targeted.

▼ Mark scheme

Award 1 mark for stating one market segment targeted by On Your Bike. Children (or their parents) buying first cycles or scooters (1). Cycling enthusiasts interested in mountain biking (1). Tourists looking to rent cycles whilst on holiday (1). Accept any other appropriate response. Do not accept market segments that would not be appropriate for On Your Bike. For example, low income groups as the average price of bikes is £550.

Analyse the impact on Sports Tours Ltd of using market mapping to target customers.

▼ Mark scheme

Indicative content: Market mapping allows Sports Tours Ltd to spot gaps in the market where tours can be offered to groups of customers that are interested in different sports such as netball and hockey (AO2). Market mapping may identify a gap that exists because there is not enough demand in this sport or type of tour. This could lead to Sports Tours Ltd targeting a market that does not exist (AO2). This will allow the business to reach a wider range of customers because it is not specialising in just one sport. There is a wide range of team sports played in the UK (AO3a). There are some minority sports where there will not be enough teams to organise fixtures. If Sports Tours Ltd targets these markets then it may lead to business failure (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Which one of the following could be used to identify a market segment?

- A. Demographics
- B. Inflation
- C. Marketing mix
- D. Revenue

▼ Mark scheme

The only correct answer is A – Demographics. B is not correct because it is an impact of the economic climate. C is not correct because it is the marketing decisions made by a business. D is not correct because it is the income derived from sales.

As part of her market research Amelia collected quantitative research from the Birmingham City Council website. Table 3 shows the 2019 Population by five-year age groups for Birmingham. Age 30-34: Males 41,500, Females 41,200, Total 82,700. Age 35-39: Males 37,600, Females 38,600, Total 76,200. Age 40-44: Males 33,300, Females 33,700, Total 67,000. Age 45-49: Males 33,000, Females 33,700, Total 66,700. Age 50-54: Males 32,000, Females 33,500, Total 65,500.

Using the information in Table 3, calculate to 2 decimal places, the percentage of people in the age group 45–49 that are female. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $(33,700 \div 66,700) \times 100$ (1). Answer: 50.52% (1). Award full marks for correct numerical answer without working.

Which one of the following is a way of segmenting a market?

- A. Cost
- B. Income
- C. Media
- D. Profit

▼ Mark scheme

The only correct answer is B - Income. A is not correct because it is not a way of segmenting a market. C is not correct because it is not a way of segmenting a market. D is not correct because it is not a way of segmenting a market.

1.2.4 The competitive environment (15 questions)

Explain one benefit to a business of using a market map.

▼ Mark scheme

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit, up to a total of 3 marks. The market map will help to identify key features of competitors (1), which allows the business to spot a gap in the market (1) so they can focus on features to make themselves different (1). A market map can help a business make decisions about its products (1) so that the features of the products are different from their competitors (1), which makes it likely that they will get more customers (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Explain one disadvantage to a business of operating in a competitive environment.

▼ Mark scheme

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. There will be a lot of competitors (1). Therefore the business may have to charge a lower price (1). This may mean that the business does not generate as high a profit (1). Competitors put pressure on a business to provide a high-quality product (1). If it does not do this, customers will choose one of the rivals (1). As a result of this, sales and revenue are likely to fall (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

As a result of the queues in the shop, Neil and Sue have decided to implement a contactless payment system at Meringue.

Outline one impact on Meringue of lengthy queues as customers wait to pay.

▼ Mark scheme

Award up to 2 marks for linked points outlining an impact of lengthy queues on Meringue. Award a maximum of 1 mark if points are not linked. Long queues may lead to customers not returning to Meringue (1), preferring to visit competing cafes where paying for food is more efficient (1). Long queues may deter customers who are passing and look into the cafe (1), which may mean that they go elsewhere and Meringue loses potential sales (1). Do not accept impacts that would not be appropriate for the context of a small town centre bakery and cafe such as Meringue, for example going to another branch.

Identify which of Sally's competitors is the most expensive per hour.

▼ Mark scheme

Competitor 1: 'Vitality' personal instructor

Aphrodite case study (clothes shop with range of stock from well-known brands and new designers).

Outline one reason why Aphrodite's range of stock could give it an advantage over its competitors.

▼ Mark scheme

Award up to 2 marks for linked points outlining a reason why Aphrodite's range of stock gives it an advantage. Award a maximum of 1 mark if points are not linked. Aphrodite can stock a range of clothes that no other shop has (1). This will attract customers who like buying new fashion (1). New designers may offer special discounts to Aphrodite to stock their clothes (1). This gives Aphrodite a cost advantage over competition (1). Do not accept a reason that would not be appropriate for Aphrodite. For example, Aphrodite can produce clothes of higher quality than other businesses.

Sainsbury's case study. Figure 2 shows the market share of UK supermarkets in 2017. Tesco 27.8%; Sainsbury's 16.0%; Morrisons 10.5%; Asda 15.1%; Co-operative 7.0%; Aldi 6.2%; All other supermarkets 17.4%.

Using the information in Figure 2, identify the UK supermarket with a larger market share than Sainsbury's.

▼ Mark scheme

Tesco (1)

Which one of the following is a definition of market share?

- A. Market research that can be collected and analysed
- B. The proportion of sales in a market made by one business
- C. The total amount of money from business sales
- D. A group of people who discuss their views on a product

▼ Mark scheme

The only correct answer is B - The proportion of sales in a market made by one business. A is not correct because it is a definition of market research data. C is not correct because it is a definition of revenue. D is not correct because it is a definition of a focus group.

Explain one benefit to a small business from having a unique selling point.

▼ Mark scheme

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. A unique selling point will give a small business a competitive advantage (1). This would make customers more likely to buy from the business rather than from the competition (1). This means the business will benefit from increased market share (1). A unique selling point will allow a small business to add value (1). This means it should be able to operate profitably (1), which reduces the chance of business failure (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Explain one advantage to a small business of using market mapping.

▼ Mark scheme

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. Market mapping will allow a small business to spot a gap in the market (1). This can lead to the business developing a product/service to help fill this gap (1). As a result, the small business may capture market share from competition (1). Market mapping can help a small business analyse its competitors (1). This may help the business when making business decisions (1). This may lead to a reduced risk of failure (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

Discuss how the decision making of a small business may be affected by increased competition.

▼ **Mark scheme**

Indicative content: Increased competition will affect how a small business decides what price to charge (AO1b). Increased competition will affect location decisions for a small business (AO1b). Therefore, a small business may decide to use a competitive pricing strategy to maintain market share (AO3a). Therefore, a small business may decide not to locate in an area where there is lots of competition as it will find it difficult to attract customers (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Evaluate the extent to which Loco will be able to compete with large manufacturers of SUPs. You should use the information provided as well as your knowledge of business.

▼ Mark scheme

Indicative content: Loco will be able to compete because its flexibility will help meet customer needs (AO1b). The larger manufacturers already have existing market share and position (AO1b). The owner of Loco was able to be innovative in designing new SUPs after working with professional SUP riders in Fuerteventura (AO2). Stand up paddle boarding is not a mass market sport so has relatively low numbers of participants (AO2). The flexibility of the business may allow it to make individual changes to its products as requested by its customers. Larger manufacturers may not be able to do this as the SUPs are manufactured in larger batches, or in bulk. This may be important to professional SUP riders who want bespoke products. If professional riders select Loco products, then the brand of the business will grow and become attractive to other customers (AO3a). The size of the market makes it difficult for new brands to become established. Large manufacturers benefit from economies of scale and can make it difficult for new businesses to compete on price. They will have lower average costs and will benefit from spending more money on marketing (AO3a). However, this will depend on how much the design process and time spent creating the new boards will increase the average costs of making the SUPs. This may therefore lead to higher prices. This may not affect the professional riders but will make it difficult for other riders to buy the SUPs. This could therefore discourage them from buying Loco boards rather than those of the larger manufacturers (AO3b). However, the competitive nature of paddle boarding means that customers may look to buy the best equipment. The large manufacturers may find it difficult to compete with smaller businesses like Loco because Joe can offer personal help and advice to customers when buying their equipment. This personal touch may not be able to be directly given by a large manufacturer (AO3b).

Level 1 (1-4): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b).

Level 2 (5-8): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b).

Level 3 (9-12): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

Figure 2 shows the market share of each business in a market. Business A: 34.2%, Business B: 23.8%, Business C: 21.3%, Business D: 12.5%, Business E: unknown.

Using the information in Figure 2, calculate the market share of Business E. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $(100\% - 34.2\% - 23.8\% - 21.3\% - 12.5\%)$ (1). Answer: 8.2% (1). Award full marks for correct numerical answer without working.

Explain one way a small business could become more competitive.

▼ Mark scheme

Award 1 mark for identification of a way, plus 2 further marks for explaining this way up to a total of 3 marks. A small business could gain an advantage by charging lower prices (1). This would mean customers are more likely to buy the product because it is cheaper than other products (1). Therefore, this would attract customers from its competitors as they want to save money (1). A small business could improve the quality of the product (1). This would attract customers because they think they are getting a better product (1). As a result, the business would gain a better reputation than competitors (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

Figure 5 shows the market share for each company in the virtual reality headset market in 2018 and 2019. Sony 2018: 42.5%, 2019: 36.5%. Facebook 2018: 19%, 2019: 28%. HTC 2018: 12.5%, 2019: 13%. Microsoft 2018: 3%, 2019: 0%. Others 2018: 21%, 2019: 21%.

Using Figure 5, identify the company that left the virtual reality headset market in 2019.

▼ Mark scheme

Microsoft

Explain one advantage to customers from increased competition.

▼ **Mark scheme**

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage, up to a total of 3 marks. One advantage is that customers may pay less for products (1). This is because a business may reduce prices to become more competitive (1). This may lead to customers being able to buy more products (1). Customers will have more choice (1). This is because increased competition leads to more products being available in the market (1). Therefore, a customer will be able to buy products that fully meet their needs (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.